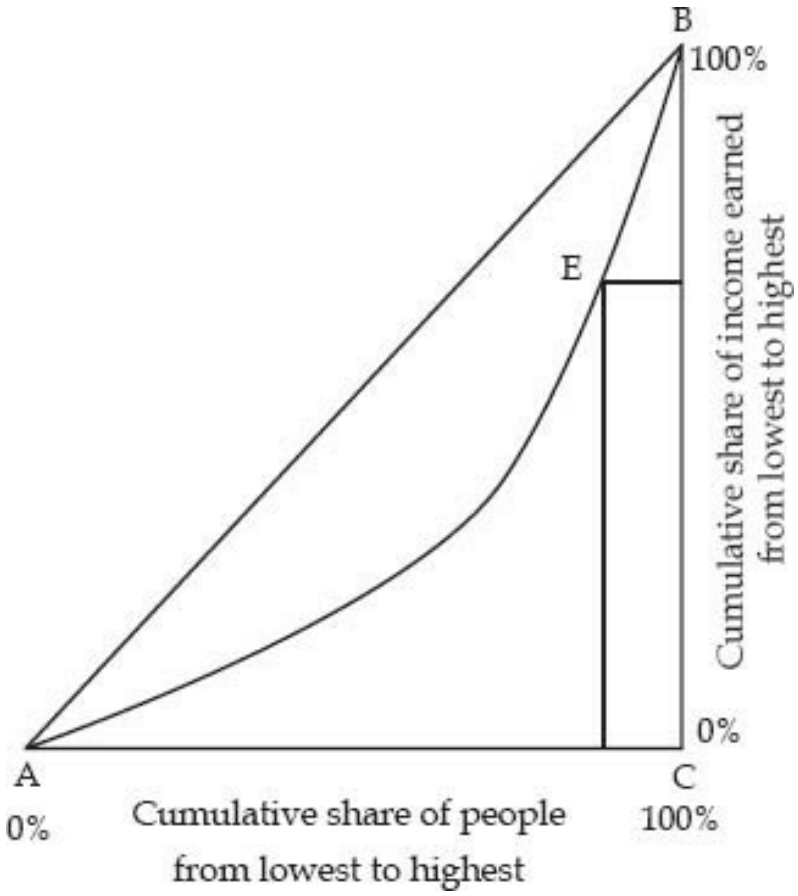


In the figure AB is the line of equality. The line AEB is Lorenz curve. It is the line of inequality. The point E, shows that 90 per cent of people earn 60 per cent of income and the remaining 10 per cent of people earns the remaining 40 per cent of income. It shows that there is inequality.

Gini coefficient

Gini coefficient measures the inequality using Lorenz curve. It is the ratio between area between the Lorenz curve and line of equality and area below the line of equality.

Gini coefficient = Area between Lorenz curve and line of equality / Area below the line of equality

The area above Lorenz curve is the area between Lorenz curve and line of equality. The area below Lorenz curve is the area between the